

3.2.3 How the government manages the economy

Students examine the tools available to government to manage the economy. Government economic policies will be looked at, with a focus on monetary, fiscal and supply-side policies. Each policy will be examined in turn to show how they can be used to influence economic performance. Government policies to affect the distribution of income and the correction of negative externalities are also addressed.

3.2.3.1 Fiscal policy

Content	Additional information
• Fiscal policy • The government budget	Students should be able to understand: • how fiscal policy can affect levels of income and expenditure within the economy • how fiscal policy can be used to achieve government objectives • the meaning of a balanced budget and explain the consequences of operating a budget surplus and deficit.

3.2.3.2 Monetary policy

Content	Additional information
Monetary policy	Students should be able to understand: • what is meant by monetary policy • how monetary policies can be used to achieve the government objective of controlling inflation • how monetary policies can be used to achieve other government economic objectives.

3.2.3.3 Supply-side policies

Content	Additional information
Supply-side policies	Students should be able to understand: • the advantages and disadvantages of supply-side policies • supply-side policies such as: investment in education and training, lower direct taxes, lower taxes on business profits, trade union reform and privatisation/de-regulation • how supply-side policies can be used to help achieve government objectives.

3.2.3.4 Policies to correct positive and negative externalities

Content	Additional information
Externalities	Students should be able to understand government policies designed to influence positive and negative externalities.